

Blu Containers

Discounted Cash Flow Valuation Model

ENGAGEMENT DETAILS

Valuation Date	July 23, 2026
Reporting Currency	US\$ in millions
Model Type	5-Year DCF — exit-multiple terminal value
Prepared By	Chungu Kapambwe
Status	Final

VALUATION SUMMARY

Implied Value per Share (US\$)	12.25
Current Share Price (US\$)	11.50
Implied Premium / (Discount)	6.5%

CONTENTS

Summary	Scenario output — Base, Best, Worst
Assumptions	Key operating & valuation inputs
Scenarios	Scenario switch and driver sets
Model	Integrated 3-statement model & DCF valuation
Income Tax	Corporate income tax computation
Variable vs. Fixed Costs	Cost behaviour split
Semi-Variable Costs	Semi-variable cost detail

This model is prepared for illustrative and analytical purposes only and does not constitute investment advice. Figures are estimates based on stated assumptions and are subject to change. Confidential — for internal use only.

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Summary Outputs

SUMMARY VALUES - BASE CASE

(\$ Millions)	Trend	2024A	2025A	2026A	Projected				
					2027	2028	2029	2030	2031
Income Statement Items									
Net Revenue		\$214	\$237	\$205	\$240	\$262	\$281	\$277	\$268
Growth			10.8%	(13.4%)	17.1%	9.2%	7.4%	(1.5%)	(3.2%)
EBITDA		\$50	\$68	\$33	\$61	\$75	\$86	\$72	\$54
Margin		23.5%	28.9%	16.2%	25.5%	28.8%	30.5%	26.0%	20.0%
Growth			36.3%	(51.6%)	84.9%	23.0%	13.9%	(16.2%)	(25.5%)
Net Income		\$14	\$24	\$2	\$21	\$31	\$39	\$30	\$19
Margin		6.6%	10.0%	1.1%	9.0%	11.9%	13.7%	10.9%	7.1%
Growth			68.1%	(90.7%)	876.3%	44.5%	24.2%	(21.4%)	(37.4%)

SUMMARY VALUES - BEST CASE

(\$ Millions)	Trend	2024A	2025A	2026A	Projected				
					2027	2028	2029	2030	2031
Income Statement Items									
Net Revenue		\$214	\$237	\$205	\$251	\$274	\$297	\$296	\$282
Growth			10.8%	(13.4%)	22.5%	9.2%	8.5%	(0.4%)	(4.9%)
EBITDA		\$50	\$68	\$33	\$72	\$88	\$102	\$91	\$71
Margin		23.5%	28.9%	16.2%	28.8%	32.1%	34.3%	30.7%	25.1%
Growth			36.3%	(51.6%)	118.6%	21.5%	16.1%	(10.9%)	(22.4%)
Net Income		\$14	\$24	\$2	\$29	\$39	\$49	\$43	\$30
Margin		6.6%	10.0%	1.1%	11.4%	14.4%	16.6%	14.5%	10.7%
Growth			68.1%	(90.7%)	1205.5%	37.0%	25.3%	(13.2%)	(29.4%)

SUMMARY VALUES - WORST CASE

(\$ Millions)	Trend	2024A	2025A	2026A	Projected				
					2027	2028	2029	2030	2031
Income Statement Items									
Net Revenue		\$214	\$237	\$205	\$226	\$247	\$263	\$256	\$245
Growth			10.8%	(13.4%)	10.5%	9.1%	6.3%	(2.5%)	(4.5%)
EBITDA		\$50	\$68	\$33	\$49	\$61	\$68	\$53	\$34
Margin		23.5%	28.9%	16.2%	21.6%	24.6%	26.0%	20.8%	14.0%
Growth			36.3%	(51.6%)	47.4%	24.4%	12.4%	(21.9%)	(35.9%)
Net Income		\$14	\$24	\$2	\$13	\$21	\$27	\$18	\$5
Margin		6.6%	10.0%	1.1%	5.9%	8.6%	10.1%	6.8%	2.2%
Growth			68.1%	(90.7%)	509.4%	59.2%	24.8%	(34.2%)	(69.5%)

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Inputs and Assumptions

GENERAL

- First year of forecast in financial model: **2027**
- Three scenarios have been used for Inflation, Product Pricing and sales volume growth

EQUITY

Stock Price - 23/07/26	\$11.50
Fully Diluted Shares O/S (MM) - Dec. 31, 2026	14.80
Common Dividend Payout Rate	20.0%

PRODUCT PRICING

- The product pricing cases used in the model are as follows:

Pricing Case	2027 - 2031
Base Case	Research Forecast
Best Case	+4%
Worst Case	(4%)

OPERATIONS

Annual Factory Capacity (000's units):	420
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OPERATING COSTS

Cost Item	2027	Increases
Raw Materials	\$226.0 per Unit	Inflation on a unit basis
Utilities	\$66.2 per Unit	Inflation on a unit basis
Rent	\$23.5 MM	Inflation on a total basis
Operating Labour	\$43.5 MM	Inflation on a total basis
Other	\$2.0 MM	Inflation on a total basis
SG&A	\$3.9 MM	Inflation on a total basis

INTEREST RATES

Interest earned on Cash balances:	1.0%
Interest rate on Bank Revolver:	6.0%
Interest rate on Senior Secured Term Debt:	6.0%

DEPRECIATION

- Depreciation Methodology Used: **Straight Line**
- Years remaining for depreciation of existing assets: **25 years**
- Years used for depreciation of new assets: **30 years**

TAXES

Tax rate assumed in the model:	35.0%
Additional tax assumptions in "Other Assumptions" box	

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Inputs and Assumptions

OTHER ASSUMPTIONS			2027	2028	2029	2030	2031
Income Statement							
Cost Adjustments - Gain/(Loss)	MM		\$0.0	\$0.0	\$0.0	\$0.0	\$0.0
Cash Flow Statement							
Investing Activities - Other	MM		\$0.0	\$0.0	\$0.0	\$0.0	\$0.0
Capital Expenditures	MM		\$16.0	\$17.0	\$17.3	\$17.5	\$18.0
Income Tax							
Reduction in EBT for timing differences	MM		<u>\$5.0</u>	<u>\$5.0</u>	<u>\$5.0</u>	<u>\$5.0</u>	<u>\$5.0</u>
Working Capital Days							
Accounts Receivable	days		48.0	44.0	40.0	40.0	40.0
Inventories	days		70.0	65.0	60.0	60.0	55.0
Prepaid Expenses	days		30.0	30.0	30.0	30.0	30.0
Other Assets	days		3.0	3.0	3.0	3.0	3.0
Accounts Payable	days		40.0	40.0	40.0	40.0	40.0
Other Liabilities	days		10.0	10.0	10.0	10.0	10.0
Change in Debt & Equity							
Senior Term Debt Issuance / (Repayment)	MM		<u>(\$25.0)</u>	<u>(\$25.0)</u>	<u>(\$25.0)</u>	<u>(\$25.0)</u>	<u>(\$25.0)</u>
Common Stock Issuance / (Buy-back)	MM		\$0.0	\$0.0	\$0.0	\$0.0	\$0.0

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Economic and Sales Scenarios

SCENARIO SWITCH: Base Case ▼

2027

2028

2029

2030

2031

ECONOMIC SCENARIOS

Cost Inflation

Base Case
Best Case
Worst Case

2.0%

2.0%

2.3%

2.5%

2.5%

2.0%

2.0%

2.3%

2.5%

2.5%

1.8%

1.8%

1.8%

2.0%

2.0%

2.5%

2.5%

2.5%

2.5%

2.5%

SALES SCENARIOS

Sales Price - \$/Unit

Base Case
4% Best Case
(4%) Worst Case

765.0

800.0

825.0

790.0

750.0

765.0

800.0

825.0

790.0

750.0

795.6

832.0

858.0

821.6

780.0

734.4

768.0

792.0

758.4

720.0

Sales Volume Growth

Base Case
Best Case
Worst Case

5.0%

4.0%

4.0%

4.0%

4.0%

5.0%

4.0%

4.0%

4.0%

4.0%

5.0%

4.0%

5.0%

5.0%

4.0%

4.0%

4.0%

3.0%

3.0%

2.0%

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Revenue Schedule

	Units	2024A	2025A	2026A	<i>Projected</i>				
					2027	2028	2029	2030	2031
Pricing									
Gross Sales Price	(\$/unit)			694.4	765.0	800.0	825.0	790.0	750.0
Cost Inflation	(%)				2.0%	2.0%	2.3%	2.5%	2.5%
Freight & Warehousing	(\$/unit)			100.0	102.0	104.0	106.4	109.1	111.8
Net Sales Price	(\$/unit)			594.4	663.0	696.0	718.6	680.9	638.2
Sales Volume									
Annual Factory Capacity	(000's units)				420.0	420.0	420.0	420.0	420.0
Sales Volume Growth	(%)				5.0%	4.0%	4.0%	4.0%	4.0%
Annual Sales Volume	(000's units)			344.5	361.7	376.2	391.2	406.9	420.0
Implied Operating Rate					86.1%	89.6%	93.1%	96.9%	100.0%
Revenue									
Gross Revenue	(\$ MM)			239.2	276.7	300.9	322.7	321.4	315.0
Freight & Warehousing	(\$ MM)			34.4	36.9	39.1	41.6	44.4	47.0
Net Revenue	(\$ MM)			\$204.8	\$239.8	\$261.8	\$281.1	\$277.0	\$268.0

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Costs of Production Schedule

		2024A	2025A	2026A	Projected				
					2027	2028	2029	2030	2031
Annual Sales Volume	(000's units)			344.5	361.7	376.2	391.2	406.9	420.0
Cost Inflation	(%)				2.0%	2.0%	2.3%	2.5%	2.5%

COSTS PER UNIT

Variable Costs

Raw Materials	(\$/unit)				226.0	230.5	235.8	241.7	247.8
Utilities	(\$/unit)				66.2	67.5	69.1	70.8	72.6
Total Variable Costs	(\$/unit)				292.2	298.0	304.9	312.5	320.3

Fixed Costs

Rent	(\$/unit)				65.0	63.7	62.7	61.8	61.3
Operating Labour	(\$/unit)				120.3	118.0	116.0	114.4	113.5
Other	(\$/unit)				5.5	5.4	5.3	5.3	5.2
Total Fixed Costs	(\$/unit)				190.8	187.1	184.0	181.4	180.1

Total Costs	(\$/unit)				\$483.0	\$485.1	\$488.9	\$493.9	\$500.4
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COSTS IN MILLIONS

Variable Costs

Raw Materials	(\$ MM)				81.7	86.7	92.3	98.3	104.1
Utilities	(\$ MM)				23.9	25.4	27.0	28.8	30.5
Total Variable Costs	(\$ MM)				105.7	112.1	119.3	127.2	134.5

Fixed Costs

Rent	(\$ MM)				23.5	24.0	24.5	25.1	25.8
Operating Labour	(\$ MM)				43.5	44.4	45.4	46.5	47.7
Other	(\$ MM)				2.0	2.0	2.1	2.1	2.2
Total Fixed Costs	(\$ MM)				69.0	70.4	72.0	73.8	75.6

Total Costs	(\$ MM)				\$174.7	\$182.5	\$191.3	\$200.9	\$210.2
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Income Statement

(\$ Millions)

		2024A	2025A	2026A	Projected				
					2027	2028	2029	2030	2031
Sales Volume	(000's units)			344.5	361.7	376.2	391.2	406.9	420.0
Revenue									
Gross Revenue	Rev Sched	244.8	269.3	239.2	276.7	300.9	322.7	321.4	315.0
Freight & Warehousing	Rev Sched	31.3	32.7	34.4	36.9	39.1	41.6	44.4	47.0
Net Revenue	Calc	213.5	236.6	204.8	239.8	261.8	281.1	277.0	268.0
Cost of Sales	Cost Sched	159.9	164.6	167.9	174.7	182.5	191.3	200.9	210.2
S,G & A	Assum	3.4	3.6	3.8	3.9	4.0	4.1	4.2	4.3
Total Costs	Calc	163.3	168.2	171.7	178.6	186.5	195.3	205.1	214.5
Cost Adjustments - Gain/(Loss)	Assum	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
EBITDA	Calc	50.2	68.4	33.1	61.2	75.3	85.8	71.9	53.6
Depreciation	Dep'n Sched	15.4	15.5	15.8	16.2	16.7	17.3	17.9	18.5
EBIT	Calc	34.8	52.9	17.3	45.0	58.6	68.5	54.0	35.1
Interest Expense	Debt Sched	15.0	15.0	14.0	12.0	10.9	9.2	7.4	5.9
EBT	Calc	19.8	37.9	3.3	33.0	47.7	59.3	46.6	29.2
Current Income Taxes	Tax Sched	3.0	8.0	0.0	9.8	15.0	19.0	14.6	8.5
Deferred Income Taxes	Tax Sched	2.7	6.2	1.1	1.8	1.8	1.8	1.8	1.8
Total Income Taxes	SUM	5.7	14.2	1.1	11.6	16.7	20.7	16.3	10.2
Net Income	Calc	\$14.1	\$23.7	\$2.2	\$21.5	\$31.0	\$38.5	\$30.3	\$19.0

Margins									
EBITDA Margin		23.5%	28.9%	16.2%	25.5%	28.8%	30.5%	26.0%	20.0%
EBIT Margin		16.3%	22.4%	8.4%	18.8%	22.4%	24.4%	19.5%	13.1%
Return on Equity		5.9%	9.2%	0.9%	7.8%	10.3%	11.6%	8.5%	5.1%

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Cash Flow Statement

(\$ Millions)

		2024A	2025A	2026A	Projected				
					2027	2028	2029	2030	2031
Operating Activities									
Net Income	Inc Stmt	14.1	23.7	2.2	21.5	31.0	38.5	30.3	19.0
Depreciation & Amortization	Inc Stmt	15.4	15.5	15.8	16.2	16.7	17.3	17.9	18.5
Deferred Income Taxes	Inc Stmt	2.7	6.2	1.1	1.8	1.8	1.8	1.8	1.8
Changes in working capital	WC Sched	0.0	0.0	0.0	(0.4)	1.5	2.1	(0.7)	2.8
Operating Cash Flow	Calc	32.2	45.4	19.1	39.0	51.0	59.6	49.2	42.0
Investing Activities									
CAPEX	Assum	(14.1)	(15.0)	(15.5)	(16.0)	(17.0)	(17.3)	(17.5)	(18.0)
Other	Assum	(5.0)	4.0	3.0	0.0	0.0	0.0	0.0	0.0
Investing Cash Flow	Calc	(19.1)	(11.0)	(12.5)	(16.0)	(17.0)	(17.3)	(17.5)	(18.0)
Financing Activities									
Revolver Issuance / (Repayment)	Debt Sched	0.0	0.0	0.0	6.0	(2.8)	(3.2)	0.0	0.0
Term Debt Issuance / (Repayment)	Debt Sched	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)	(25.0)
Common Shares Issuance/ (Buy-Back)	Equity Sched	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Common Dividends	Equity Sched	(2.8)	(4.7)	(2.4)	(4.3)	(6.2)	(7.7)	(6.1)	(3.8)
Financing Cash Flow	Calc	(27.8)	(29.7)	(27.4)	(23.3)	(34.0)	(35.9)	(31.1)	(28.8)
Change in the Cash Position		(14.7)	4.7	(20.8)	(0.3)	0.0	6.4	0.7	(4.8)
Beginning Cash		31.1	16.4	21.1	0.3	(0.0)	(0.0)	6.4	7.1
Ending Cash		16.4	21.1	0.3	0.0	0.0	6.4	7.1	2.3

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Balance Sheet

(\$ Millions)

		2024A	2025A	2026A	Projected				
					2027	2028	2029	2030	2031
ASSETS									
Cash	CFLO Stmt	16.4	21.1	0.3	0.0	0.0	6.4	7.1	2.3
Accounts Receivable	WC Sched	27.0	27.8	28.3	31.5	31.5	30.8	30.4	29.4
Inventory	WC Sched	36.5	36.1	35.1	33.5	32.4	31.4	33.0	31.7
Prepaid Expenses	WC Sched	14.6	14.4	14.9	14.4	15.0	15.7	16.5	17.3
Other	WC Sched	1.4	1.8	1.2	1.4	1.5	1.6	1.7	1.7
Total Current Assets	Calc	95.9	101.2	79.8	80.8	80.3	86.0	88.7	82.3
Net PP&E	FA Sched	398.5	398.0	397.7	397.5	397.8	397.8	397.4	397.0
Other	Calc	19.0	15.0	12.0	12.0	12.0	12.0	12.0	12.0
Total Long Term Assets	SUM	417.5	413.0	409.7	409.5	409.8	409.8	409.4	409.0
Total Assets	SUM	\$513.4	\$514.2	\$489.5	\$490.4	\$490.1	\$495.8	\$498.1	\$491.3
LIABILITIES AND EQUITY									
Bank Debt - Revolver	Debt Sched	0.0	0.0	0.0	6.0	3.2	0.0	0.0	0.0
Accounts Payable	WC Sched	18.3	18.7	18.2	19.1	19.9	21.0	22.0	23.0
Other	WC Sched	4.7	4.9	4.8	4.8	5.0	5.2	5.5	5.8
Total Current Liabilities	SUM	23.0	23.6	23.0	29.9	28.1	26.2	27.5	28.8
Deferred Income Taxes	Ta	0.7	6.9	8.0	9.8	11.5	13.3	15.0	16.8
Senior Secured Term Debt	Debt Sched/Calc	250.0	225.0	200.0	175.0	150.0	125.0	100.0	75.0
Total Long Term Liabilities	SUM	250.7	231.9	208.0	184.8	161.5	138.3	115.0	91.8
Total Liabilities	SUM	273.7	255.5	231.0	214.7	189.6	164.5	142.5	120.5
Common Shares	Equity Sched	120.0	120.0	120.0	120.0	120.0	120.0	120.0	120.0
Retained Earnings	Equity Sched	119.7	138.7	138.5	155.7	180.5	211.3	235.6	250.7
Shareholder's Equity	SUM	239.7	258.7	258.5	275.7	300.5	331.3	355.6	370.7
Total Liabilities and Equity	SUM	\$513.4	\$514.2	\$489.5	\$490.4	\$490.1	\$495.8	\$498.1	\$491.3
Check		0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000

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Fixed Assets (PP&E) Schedule

(\$ Millions)

		2024A	2025A	2026A	<i>Projected</i>				
					2027	2028	2029	2030	2031
Years Remaining Existing Assets:	25								
Depreciation Years on New Assets:	30								
Fixed Assets (PP&E) - Beginning					\$397.7	\$397.5	\$397.8	\$397.8	\$397.4
Plus Capex					\$16.0	\$17.0	\$17.3	\$17.5	\$18.0
Depreciation to Existing Assets					\$15.9	\$15.9	\$15.9	\$15.9	\$15.9
CAPEX		DEPRECIATION							
2027	\$16.0				0.3	0.5	0.5	0.5	0.5
2028	\$17.0					0.3	0.6	0.6	0.6
2029	\$17.3						0.3	0.6	0.6
2030	\$17.5							0.3	0.6
2031	\$18.0								0.3
Total Depreciation					\$16.2	\$16.7	\$17.3	\$17.9	\$18.5
Fixed Assets (PP&E) - Ending				\$397.7	\$397.5	\$397.8	\$397.8	\$397.4	\$397.0

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Income Tax Schedule

(\$ Millions)

		<i>Projected</i>				
Tax Rate		2027	2028	2029	2030	2031
	35.0%					
Accounting EBT (as is on I/S)	A	\$33.0	\$47.7	\$59.3	\$46.6	\$29.2
Less: Reduction in EBT for timing differences ⁽¹⁾		5.0	5.0	5.0	5.0	5.0
Government EBT/ Taxable Income	B	\$28.0	\$42.7	\$54.3	\$41.6	\$24.2
Accounting Taxes (35% of A)		11.6	16.7	20.7	16.3	10.2
Taxes as Appearing on Income Statement						
Current Tax (35% of B)		9.8	15.0	19.0	14.6	8.5
Increase (Decrease) in Deferred Income Taxes		1.8	1.8	1.8	1.8	1.8
Total Income Taxes (Same as Accounting Taxes Above)		11.6	16.7	20.7	16.3	10.2

(1) Assumes aggregate reduction in government pre-tax earnings due to timing differences between accounting and government rules.

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Working Capital Schedule

(\$ Millions)

		2024A	2025A	2026A	Projected				
					2027	2028	2029	2030	2031
Days per Year	(days)		365	365	365	366	365	365	365
Income Statement Items									
Net Revenue	(\$ MM)		236.6	204.8	239.8	261.8	281.1	277.0	268.0
Cost of Sales	(\$ MM)		164.6	167.9	174.7	182.5	191.3	200.9	210.2
Days In									
Accounts Receivable	(days)		42.9	50.4	48.0	44.0	40.0	40.0	40.0
Inventories	(days)		80.1	76.3	70.0	65.0	60.0	60.0	55.0
Prepaid Expenses	(days)		31.9	32.4	30.0	30.0	30.0	30.0	30.0
Other Assets	(days)		4.0	2.6	3.0	3.0	3.0	3.0	3.0
Accounts Payable	(days)		41.5	39.6	40.0	40.0	40.0	40.0	40.0
Other Liabilities	(days)		10.9	10.4	10.0	10.0	10.0	10.0	10.0
Account Balances									
Accounts Receivable	(\$ MM)		27.8	28.3	31.5	31.5	30.8	30.4	29.4
Inventories	(\$ MM)		36.1	35.1	33.5	32.4	31.4	33.0	31.7
Prepaid Expenses	(\$ MM)		14.4	14.9	14.4	15.0	15.7	16.5	17.3
Other Assets	(\$ MM)		1.8	1.2	1.4	1.5	1.6	1.7	1.7
Accounts Payable	(\$ MM)		18.7	18.2	19.1	19.9	21.0	22.0	23.0
Other Liabilities	(\$ MM)		4.9	4.8	4.8	5.0	5.2	5.5	5.8
Net Working Capital	(\$ MM)		56.5	56.5	56.9	55.4	53.3	54.0	51.3
Change in Working Capital	(\$ MM)			\$0.0	(\$0.4)	\$1.5	\$2.1	(\$0.7)	\$2.8

Blu Containers

Debt and Interest Schedule

(\$ Millions)

	2026A	2027	2028	<i>Projected</i>		
				2029	2030	2031
FINANCING COMPONENT						
Cash						
Amount Outstanding - Beginning		0.3	(0.0)	(0.0)	6.4	7.1
Change in Cash		(0.3)	0.0	6.4	0.7	(4.8)
Amount Outstanding - Ending	\$0.3	(\$0.0)	(\$0.0)	\$6.4	\$7.1	\$2.3
Interest Rate		1.0%	1.0%	1.0%	1.0%	1.0%
Annual Interest Income		\$0.0	(\$0.0)	(\$0.0)	\$0.1	\$0.1
Revolver						
Operating Cash Flow		39.0	51.0	59.6	49.2	42.0
Investing Cash Flow		(16.0)	(17.0)	(17.3)	(17.5)	(18.0)
Mandatory Debt Repayments		(25.0)	(25.0)	(25.0)	(25.0)	(25.0)
Common Stock Issuance / (Buy-back)		0.0	0.0	0.0	0.0	0.0
Dividends		(4.3)	(6.2)	(7.7)	(6.1)	(3.8)
FCF After Mandatory Debt Repayment and Dividend		(\$6.3)	\$2.8	\$9.6	\$0.7	(\$4.8)
Revolver Outstanding - Beginning		0.0	6.0	3.2	0.0	0.0
Additions / (Repayments)		6.0	(2.8)	(3.2)	0.0	0.0
Revolver Outstanding - Ending	\$0.0	\$6.0	\$3.2	\$0.0	\$0.0	\$0.0
Interest Rate		6.0%	6.0%	6.0%	6.0%	6.0%
Annual Interest Expense		\$0.0	\$0.4	\$0.2	\$0.0	\$0.0
Senior Secured Term Debt						
Amount Outstanding - Beginning		200.0	175.0	150.0	125.0	100.0
Additions / (Repayments)		(25.0)	(25.0)	(25.0)	(25.0)	(25.0)
Amount Outstanding - Ending	\$200.0	\$175.0	\$150.0	\$125.0	\$100.0	\$75.0
Interest Rate		6.0%	6.0%	6.0%	6.0%	6.0%
Annual Interest Expense		\$12.0	\$10.5	\$9.0	\$7.5	\$6.0
Net Interest Expense		\$12.0	\$10.9	\$9.2	\$7.4	\$5.9

Blu Containers

Shareholders' Equity Schedule

(\$ Millions)

	2026A	2027	2028	<i>Projected</i>		
				2029	2030	2031
Common Shares						
Amount Outstanding - Beginning		120.0	120.0	120.0	120.0	120.0
New Issuance / (Buy-Back)		0.0	0.0	0.0	0.0	0.0
Amount Outstanding - Ending	\$120.0	\$120.0	\$120.0	\$120.0	\$120.0	\$120.0
Dividend Payout Rate		20.0%	20.0%	20.0%	20.0%	20.0%
Net Income		21.5	31.0	38.5	30.3	19.0
Common Dividend		\$4.3	\$6.2	\$7.7	\$6.1	\$3.8
Retained Earnings						
Amount Outstanding - Beginning		138.5	155.7	180.5	211.3	235.6
Net Income		21.5	31.0	38.5	30.3	19.0
Common Dividend		(4.3)	(6.2)	(7.7)	(6.1)	(3.8)
Amount Outstanding - Ending	\$138.5	\$155.7	\$180.5	\$211.3	\$235.6	\$250.7

Blu Containers

Model Ratios

(margins in %, coverage & leverage in x)

	<u>2024A</u>	<i>Historical</i> <u>2025A</u>	2026A	2027	2028	<i>Projected</i> 2029	2030	2031
Profitability & Growth								
Revenue Growth		10.8%	(13.4%)	17.1%	9.2%	7.4%	(1.5%)	(3.2%)
EBITDA Margin	23.5%	28.9%	16.2%	25.5%	28.8%	30.5%	26.0%	20.0%
EBIT Margin	16.3%	22.4%	8.4%	18.8%	22.4%	24.4%	19.5%	13.1%
Net Margin	6.6%	10.0%	1.1%	9.0%	11.9%	13.7%	10.9%	7.1%
Returns								
Return on Equity	5.9%	9.2%	0.9%	7.8%	10.3%	11.6%	8.5%	5.1%
Return on Invested Capital	4.6%	7.1%	2.5%	6.4%	8.4%	9.8%	7.7%	5.1%
Credit & Leverage								
Total Debt / EBITDA	5.0x	3.3x	6.0x	3.0x	2.0x	1.5x	1.4x	1.4x
Net Debt / EBITDA	4.7x	3.0x	6.0x	3.0x	2.0x	1.4x	1.3x	1.4x
EBITDA / Interest	3.3x	4.6x	2.4x	5.1x	6.9x	9.3x	9.7x	9.0x
Debt / Equity	1.0x	0.9x	0.8x	0.7x	0.5x	0.4x	0.3x	0.2x
Debt / Total Capitalization	51.1%	46.5%	43.6%	39.6%	33.8%	27.4%	22.0%	16.8%
Liquidity								
Current Ratio	4.2x	4.3x	3.5x	2.7x	2.9x	3.3x	3.2x	2.9x
Quick Ratio	2.6x	2.8x	1.9x	1.6x	1.7x	2.1x	2.0x	1.8x
Cash Ratio	0.7x	0.9x	0.0x	0.0x	0.0x	0.2x	0.3x	0.1x

Blu Containers

Unlevered Free Cash Flow Schedule

(\$ Millions)

	2026A	2027	2028	<i>Projected</i>		
				2029	2030	2031
Unlevered Free Cash Flow						
EBIT	17.3	45.0	58.6	68.5	54.0	35.1
Taxes on EBIT	6.1	15.8	20.5	24.0	18.9	12.3
NOPAT	11.2	29.3	38.1	44.5	35.1	22.8
D&A	15.8	16.2	16.7	17.3	17.9	18.5
CAPEX	(15.5)	(16.0)	(17.0)	(17.3)	(17.5)	(18.0)
Cash from Working Capital	\$0.0	(\$0.4)	\$1.5	\$2.1	(\$0.7)	\$2.8
Unlevered Free Cash Flow	11.5	29.1	39.3	46.6	34.8	26.1

Blu Containers

Discounted Cash Flow

(\$ Millions)

		<i>Projected</i>				
	2026A	2027	2028	2029	2030	2031
Unlevered Free Cash Flow	11.5	29.1	39.3	46.6	34.8	26.1
EBITDA						53.6
Undiscounted Cash Flow						
Discrete Forecast	11.5	29.1	39.3	46.6	34.8	26.1
Terminal Value	-	-	-	-	-	375.0
Total Cash Flow	11.5	29.1	39.3	46.6	34.8	401.1

ASSUMPTIONS

Terminal Multiple	7.0x
Discount Rate	9.00%

ENTERPRISE VALUE

PV of Discrete	137.3	36%
PV of Terminal	243.7	64%
Enterprise Value	381.0	100%

EQUITY VALUE PER SHARE

Equity Value	181.3
Shares Outstanding	14.8
Equity Value (per sh.)	12.3

EQUITY VALUE

Enterprise Value	381.0
Less: Net Debt	199.7
Equity Value	181.3

PREMIUM (DISCOUNT)

Implied Value / Share	12.3
Current Share Price	11.5
Premium / (Discount)	6.5%

SENSITIVITY ANALYSIS

		Terminal Multiple				
		5	6	7	8	9
Discount Rate	7%	9.2	11.8	14.3	16.9	19.5
	8%	8.3	10.8	13.3	15.7	18.2
	9%	7.5	9.9	12.3	14.6	17.0
	10%	6.8	9.0	11.3	13.5	15.8
	11%	6.1	8.2	10.4	12.5	14.7